Research Highlights

- Formulates a state-robust portfolio model over a continuous family of kernel-weighted conditional return distributions.
- Solves its finite-grid approximation by adaptive constraint generation, retaining an average of 3.66 state blocks out of 441 candidates.
- Shows, in a matched comparison against the extensive-form dense linear program over 40 rolling windows, that the number of active state blocks stays between 3.3 and 3.4 as the candidate grid grows from 121 to 961 states.
- Derives a conservative bound on the grid-discretization error and reports heuristic continuous-domain diagnostics; continuous optimality is not certified.
- Finds competitive terminal wealth but no statistically significant Sharpe-ratio advantage over the considered benchmarks.